IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.110

C.P.(CAA)/40(AHM)2021 in C.A.(CAA)/29(AHM)2021

Proceedings under Section 230-232

IN THE MATTER OF:

Glorious Yarns Pvt Ltd **.....Applicant**
Harmony Prints Pvt Ltd
Shanu Tex & Developers Pvt Ltd **.....Respondent**

Order delivered on: 21/02/2023

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR. MADAN B. GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CP (CAA) 40 of 2021 in
CA (CAA) 29/NCLT/AHM/2021

[Under Sections 232 read with Section 230 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 and Rules framed thereunder]

Scheme of Amalgamation

of

M/s. Glorious Yarns Private Limited
(Transferor Company 1)

and

M/s. Harmony Prints Private Limited
(Transferor Company 2)

with

M/s. Shanu Tex and Developers Pvt Ltd
(Transferee Company)

and

Their respective Shareholders and Creditors

In the matter of:

M/s. Glorious Yarns Private Limited
(CIN: U17199GJ1997PTC033282)
A Company incorporated under the provisions of Companies Act 1956 having its registered office at Plot-65, 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chowk, Surat Gujarat- 395001

....Petitioner Company No. 1
(Transferor Company)

M/s. Harmony Prints Private Limited
(CIN: U17119GJ2002PTC041374)
A Company incorporated under the provisions of Companies Act 1956 having its registered office at Plot-65, 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chowk, Surat Gujarat- 395001

.....Petitioner Company No. 2
(Transferor Company)

M/s. Shanu Tex and Developers Pvt Ltd
(CIN: U17119GJ1999PTC036490)
a Company incorporated under the provisions of Companies

.....Petitioner Company No. 3
(Transferee Company)

Act 1956 having its registered office at Plot-65, 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chawk, Surat Gujarat- 395001.

Order Pronounced on : 21.02.2023.

Coram: Dr. Madan Bhalchandra Gosavi – Member (Judicial)
Kaushalendra Kumar Singh – Member (Technical)

Appearance:

Mr. Kunjal Dalal, PCS for the Petitioner Companies.

ORDER

1. This present joint petition has been filed by the Petitioner Companies under Sections 230-232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of amalgamation between M/s. Glorious Yarns Private Limited (Transferor Company No. 1), M/s. Harmony Prints Private Limited (Transferor Company No. 2) with M/s. Shanu Tex And Developers Private Limited (Transferee Company) [hereinafter referred to as the "Petitioner Companies"] with effect from 18th January, 2021, being the Appointed Date as mentioned in the Scheme.

2. An Affidavit in support of the above joint petition has been sworn by Mr. Ashok Kumar Kejriwal on behalf of the Petitioner Companies who is the authorized representative of the Petitioner Companies, and the same is annexed with the application. The above-named authorized representative for the Petitioner Companies has been authorized vide separate Board Resolutions dated 18.01.2021 of the respective Petitioner Companies.

3. The Petitioner Companies had filed a joint Company Application being CA (CAA) No. 29 of 2021 before this Tribunal; sought dispensation of meetings of the Equity Shareholders and Unsecured Creditors of the Petitioner Companies. This Tribunal vide order dated 02.06.2021 dispensed with the meetings of the Equity Shareholders and Unsecured Creditors of the Petitioner Companies. Since there were no Secured Creditors in any of the Petitioner Companies, it was held that no meeting of the secured creditors is necessary. It is however been noticed that there were some typographical errors in order dated 02.06.2021 as mentioned hereunder:

i) At Paragraph 9.3 of the order, it has been submitted that Applicant No. 1 Company does not have any Unsecured Creditors. A Certificate from Chartered Accountant confirming the same has been placed on

record respectively. Hence, it is prayed that the meeting of unsecured creditors of Applicant no. 1 Company be dispensed with since it is not required.

ii) At Paragraph 9.4 of the order, it is submitted that Applicant Transferee Company has 1(one) Unsecured Creditor. Further, at the second last line of the same paragraph it is written the meeting of the "Equity Shareholders" of all the Applicant Companies be dispensed with.

The above said paragraphs be replaced by following paragraphs:

i) It has been further submitted that Applicant No. 1 Company has one unsecured creditor who has given written consent on Affidavit approving the proposed scheme and for waiver of meeting of shareholders. The same are placed on record. In view of the same it is prayed that meeting of unsecured creditor of Applicant No. 1 Company be dispensed with.

ii) The number of unsecured creditors in Transferee Company is 5(five). Further, the

word meeting of "Equity Shareholders" should be stated as meeting of "Unsecured Creditors".

4. This Tribunal had further directed the Applicant Companies to serve Notice of the Scheme in compliance with Section 230 (5) of the Companies Act, 2013 in the Form 'CAA-3' along with disclosures mentioned under Rule 6 to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies, Gujarat; (iii) the concerned Income-tax authorities and (iv) the Official Liquidator stating that representations, if any, to be made within a period of 30 days from the date of receipt of such notice, and in case no representation is received by the Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make. In compliance of the order dated 02.06.2021, the Petitioner Companies have served notices to the Central Government through the Regional Director, North-western Region, the Registrar of Companies, Gujarat, the Income-tax authorities concerned and Official Liquidator. The Petitioner Companies have filed an affidavit dated 15.06.2021 confirming service of notice on the aforesaid authorities.

5. The Petitioner Companies have jointly filed the present petition being CP (CAA) No.40/NCLT/AHM/2021 before this Tribunal seeking sanction of the Scheme.

6. This Tribunal by order dated 27.07.2021, admitted the petition and directed issuance of notice of hearing be advertised in English daily 'Times of India", Surat Edition and Gujarati translation thereof in "Gujarat Mitra", Surat Edition not less than ten days before the date fixed for hearing, calling for their objections, if any, on or before the date of hearing.

7. Pursuant to the aforesaid order dated 27.07.2021, passed by this Tribunal, the Petitioner Companies on 13.08.2021 submitted the proof of service of publication and also proof of issue of notice to the Regional Director, Registrar of Companies, Official Liquidator and Income tax authority.

8. In response to the notice received from the Petitioner Companies, the office of the Regional Director, North-Western Region (RD) filed its common report on 15.11.2021 along with the report of the Registrar of Companies (RoC). The observations made by the RD and RoC are as under:

i. It is submitted by RD at para 2(c) of its representation that the capital clause of the Transferee Company shall be amended through the Scheme. As per Scheme, the authorized share capital of the Petitioner Transferor Companies amounting to Rs.1,75,00,000/- will be added in the authorized share capital of the Petitioner Transferee Company. In this regards Section 232(3)(i) of the Act is reproduced as under:

"(i) where the Transferor Company is dissolved, the fee, if any, paid by the Transferor Company on its authorised capital shall be set-off against any fees payable by the Transferee Company on its authorised capital subsequent to the amalgamation; and"

In view of the above, the Petitioner Transferee Company will be required to pay the difference amount of fees, if any which is payable on the enhanced Authorized Capital and the fees which have already been paid by all the petitioner companies at the time of registration/increase in authorized capital, as the case maybe. The Tribunal may therefore be pleased to direct companies to undertake the compliance of Section 232(3)(i) of the Act and to pay fees accordingly.

ii. It is submitted by RD at para 2(e) of its representation that the Applicant Companies submitted that they do not have any secured creditor, however, as per the charge index available on MCA 21 portal, the Transferor Company no. 1 and 2 are having 1(one) secured creditor in each company. The details of the same are as under:

Charge ID	Name of Secured Creditors	Date of Creation	Amount (in Rs)
Transferor Company No. 1			
80012467	Bank of Baroda	19.09.2005	494000000

90105805	Bank of Baroda	25.06.2001	7500000
90106548	Bank of Baroda	25.06.2001	7500000
90107275	Bank of Baroda	25.05.2001	17500000
Transferor Company No. 2.			
100035979	Bank of Baroda	31.03.2016	1160000000

In this regard, the RoC Ahmedabad has been directed to examine and take appropriate action. This Tribunal may therefore be pleased to direct the Petitioner Applicant Companies to comply with the direction, if any issued by RoC.

iii. It is submitted by RD at paragraph 2(g)(1) in its representation that as per the order dated 02.06.2021 passed by this Tribunal, it has mentioned at clause No. 8(b) as well as 10(ii) of the order that the meeting of Secured Creditors of any of the Applicant Companies are not required to be convened hence, dispensed with since the Applicant Companies have no Secured Creditors. Whereas as per the Index of charges available under the MCA21 portal, the Transferor Company No. 1 and Transferor Company No. 2 have 4 open Secured Charges and 1 open Secured Charges in favour of Bank of Baroda

amounting to Rs. 52.65 Crores and 116 Crores respectively. It seems that Transferor Companies have violated the provisions of Section 82 of the Companies Act, 2013 r.w. Rule 8 of the Companies (Register of Charges) Rules, 2014. Therefore, it was prayed that the Petitioner companies be directed to place the fact on record.

iv. It is submitted by RD at paragraph 2(g)(2) of its representation that Transferor Company No. 1 has violated of Section 136 of the Companies Act, 2013 in relation to sending of notice of AGM & Copies of Balance Sheet for Financial Year ended 31.03.2018 and 31.03.2019 to the members.

v. It is submitted by RD at paragraph 2(g)(3) of its representation that Transferor Company No. 2 has violated of Section 136 of the Companies Act, 2013 in relation to sending of notice of AGM & Copies of Balance Sheet for Financial Year ended 31.03.2019 to the members.

vi. It is submitted by RD at para 2(g)(4) to 2(g)(6) of its representation that the Petitioner companies have violated the provisions of Sections 137(1) of the Companies Act, 2013 regarding filing of un-adopted financial statements after AGM dated 18.04.2019 as per the requirement of Section 96 of the Act. In this regard, the RoC has been directed to take appropriate action in accordance with the provisions

of the Companies Act. This Tribunal may therefore be pleased to direct the Petitioner Companies to comply with the direction, if any issued by RoC.

vii. It is submitted by RD at para 2(i) of its representation that Petitioner Companies be directed to pay such amount of legal fees/cost to the Central Government.

9. In response to the common representation dated 15.11.2021 by RD and RoC, an affidavit dated 02.03.2022 has been filed by the Petitioner Companies. The following submissions have been made by the Petitioner Companies:

i) In response to the first observation, the Petitioner Companies undertake to pay the required difference amount of fees, if any, payable on the enhanced authorized share capital after adjusting fees which have already been paid by the petitioner companies at the time of registration/ Increase in Authorized Capital as the case may be. However, the Transferee Company shall comply with the provisions of Section 232(3)(i) of the Act.

ii) In response to the second observation, the Petitioner Companies has replied as under:

a) Charge for Rs. 4,94,00,000/- in Transferor Company No. 1 is in respect of security for credit facilities availed by other entities &

the same is not in respect of any loans availed by the Company

b) Charge for Rs. 75,00,000/-, Rs. 75,00,000/- & Rs. 1,75,00,000/- in respect of Transferor Company No. 1 has already been repaid and the intimation for satisfaction of charge have been submitted. The same do not appear on charge index on date of filing this reply. The fact that company has no secured loans as on date of making application confirmed from Auditors Certificate and Audited balance sheets of the company.

c) Charge for Rs. 1,16,00,00,000/- in Transferor Company No. 2 is in respect of Corporate Guarantee for credit facilities availed by other entities & the same is not in respect of any loans availed by the Company.

iii) In response to the third observation, the Petitioner Companies have submitted that all the charges have been satisfied and memorandum of satisfaction of charge or NOC from bank have been placed on record.

iv) In response to the fourth observation, it is submitted that the Transferor Company No. 1 is a closely held

company with 8 Shareholders and Company has practice of furnishing the notice & balance sheet by hand delivery and the same was clarified in form MGT-7 (Annual Return) filed. The matter has also been clarified to RoC vide letter dated 07.10.2021 in response to RoC notice dated 24.09.2021. The Company has not violated provisions of Section 136 of the Companies Act, 2013 since the notices & balance sheets were duly sent to the members.

v) In response to the fifth observation, it is submitted that the Transferor Company No. 2 is a closely held company with 6 Shareholders and Company has a practice of furnishing the notice & balance sheet by hand delivery and the same was clarified in form MGT-7 (Annual Return) filed. The matter has also been clarified to RoC vide letter dated 04.10.2021 in response to RoC notice dated 24.09.2021. The Company has not violated provisions of Section 136 of the Companies Act, 2013 since the notices & balance sheets were duly sent to the members.

vi) In response to the Sixth observation, it is submitted that the obligation to file un-adopted accounts arises only when the accounts were laid before respective AGMs and not adopted by the members. The AGMs dated 18.04.2019 was adjourned after passing resolution for appointment of auditors and the accounts were adopted at respective adjourned AGMs

held on 01.07.2019. The Financial Statements were filed immediately after their adoption in respective adjourned AGM vide SRN H78619848 dated 25.07.2019 (Transferor Company No. 1); SRN H78584729 dated 25.07.2019 (Transferor Company No. 2) and SRN R14125116 dated 19.11.2019 (Transferee Company) respectively. It is on record that the financial statements have been duly filed and there is no violation of Section 137(1) of the Companies Act, 2013. The matter has already been clarified to RoC vide our letters dated 07.10.2021 in response to their notice dated 24.09.2021.

vii) In response to the seventh observation, it is submitted that the Petitioner Companies undertake to pay amount of legal fees/cost to the Central Government.

10. The Official Liquidator filed separate Reports dated 26.04.2022 for each of Transferor Companies in respect of the proposed scheme of merger and amalgamation wherein, no adverse observation were made, however, the official liquidator prayed for some directions from the Tribunal.

In respect of Transferor Company No. 1

i. It is submitted by OL at paragraphs 18 and 19 of its Report that on perusal of Master Data there are open Charges against the Transferor Company No. 1. The

direction may be given to the Transferor Company No. 1 to place on records no objection certificate issued by concerned secured creditors whose charged has been shown open on the website of MCA.

ii. It is submitted by OL at paragraph 20 of its report that the Transferor Company No. 1 in reply submitted to this office on 12.07.2021 submitted a copy of notice served to Department of Income Tax, Gujarat, on 12.06.2021 by mentioning therein that representation if any in connection with the proposed scheme of amalgamation if any to be made to the Tribunal within a period of 30 days from date of recipt of notice.

iii. It is submitted by OL at paragraph 21 of its report that the Transferor Company being dissolved, the fee, if any paid by the Transferor Company on its authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation in terms of sub-Section 3(i) of Section 232 of the Companies, Act, 2013.

iv. It is submitted by OL at paragraph 22 of its report that a direction may be given to the Transferor Company to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of Central Government as per the provision of Section 239 of the Companies Act, 2013.

In respect of Transferor Company No. 2

v. It is submitted by OL at paragraphs 18 to 22 of its Report that on perusal of Master Data there is open charge of Bank of Baroda against the Transferor Company No. 2. This Tribunal may be pleased to direct the Petitioners/Transferor Companies to join Bank of Baroda, Corporate Financial Services Branch, having its office at 2nd Floor, Baroda Sun Complex, Opp. Panjrapol, Ghod Dod Road, Surat as party/respondent in the present matter and the said Bank may also be heard before passing any order to protect the interest of Secured Creditor.

vi. It is submitted by OL at paragraph 22 and 23 of its report that the Transferor Company No. 2 in reply submitted to this office on 12.07.2021 submitted a copy of notice served to Department of Income Tax, Gujarat, on 12.06.2021 by mentioning therein that representation if any in connection with the proposed scheme of amalgamation if any to be made to the Tribunal within a period of 30 days from date of receipt of notice.

vii. It is submitted by OL at paragraph 25 of its report that the Transferor Company being dissolved, the fee, if any paid by the Transferor Company on its authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation in

terms of sub-Section 3(i) of Section 232 of the Companies, Act, 2013.

viii. It is submitted by OL at paragraph 26 of its report that a direction may be given to the Transferor Company to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of Central Government as per the provision of Section 239 of the Companies Act, 2013.

11. The Petitioner Companies responded the Official Liquidator's report vide affidavit dated 12.07.2022 as under:

In respect of Transferor Company No. 1

i) In response to the first observation, it is submitted that the open Charges in respect of Transferor Company No. 1 have been satisfied and the Form for satisfaction has been filed. No objection certificate dated 05.07.2022 from Axis Bank is placed on record vide submission dated 10.12.2022.

ii) In response to the Second observation, it is submitted that the Income Tax Department has submitted its report to this Tribunal in response to notice received by the Applicant Company.

iii) In response to the Third observation, it is submitted that the payment of fees on increased authorized capital in terms of Section 232(3)(i) of the Companies Act, 2013, the Petitioner Company has already

undertaken to pay the differential in clause 19(a) of the Scheme.

iv) In response to the Fourth observation, it is submitted that the Transferor Company No. 1 undertakes to preserve its Books of Account, etc as per the provisions of Section 239 of the Companies Act, 2013.

In respect of Transferor Company No. 2

v) In response to the Fifth observation it is submitted that the Transferor Company do not have any secured creditor since no loan has been availed. The charge is in respect of Corporate Guarantee given to Ichhapore Textile Park Pvt. Ltd. Pursuant to clause 13(a) of the scheme all the contracts, etc. by the Transferor Companies shall be enforced against the Transferee Company and as such the Corporate Guarantee by the Transferor Company No. 2 can be enforced against the Transferee Company on the approval of the Scheme. In view of specific provision in the scheme Bank of Baroda need not be joined as a party to the present application. The Petitioner Company has vide submission dated 02.12.2022 placed on record NOC letter from Bank of Baroda and Memorandum of Satisfaction of charge issued by Registrar of Companies on 30.11.2022. Fresh index of charge showing No open charge has also been placed on record.

vi) In response to the Sixth observation, it is submitted that the Income Tax Department has submitted its report to this Tribunal in response to notice received by the Applicant Company.

vii) In response to the Seventh observation, it is submitted that the payment of fees on increased authorized capital in terms of Section 232(3)(i) of the Companies Act, 2013, the Petitioner Company has already undertaken to pay the differential in clause 19(a) of the Scheme.

viii) In response to the Eighth observation, it is submitted that the Transferor Company No. 2 undertakes to preserve its Books of Account, etc as per the provisions of Section 239 of the Companies Act, 2013.

12. In response to the notice served upon the Income Tax Department, the income Tax Department has in its Report dated 17.06.2022 stated that in case of Harmony Prints Pvt. Ltd , the recovery proceedings for A.Y 2009-10 are pending and demand of Rs. 170/- for year 2009-10 is outstanding in this case. There is no outstanding demand of Income Tax in respect of Shanu Tex & Developers Pvt. Ltd..

13. No representations have been received from any other statutory authorities.

14. Heard Mr. Kunjal Dalal, PCS for the Petitioner Companies and perused the documents on records. Considering the entire facts and circumstances of the case and on perusal of the Scheme, the documents produced on record, the representation made by the Regional Director, Registrar of Companies, Official Liquidator and Income Tax Department and the reply thereof by the Petitioner Companies, this Tribunal is of the opinion that the requirements of the provisions of sections 230 and 232 of the Companies Act, 2013 are satisfied. The reply given by the Petitioner Companies to the representation of the Regional Director, Registrar of Companies and Official Liquidator satisfies the observations of the Regional Director and Registrar of Companies. The Scheme appears to be genuine and bonafide and in the interest of the shareholders and creditors. It is further submitted that all statutory obligations under all applicable laws shall be complied with. Consequently, the Company Petition No. C.P. (CAA) No. 40 of 2022 is allowed, the scheme envisaging Scheme of Amalgamation between Glorious Yarns Private Limited (Transferor Company 1), Harmony Prints Private Limited (Transferor Company 2) with Shanu Tex and Developers Pvt Ltd (Transferee Company)and their respective shareholders and creditors is hereby

sanctioned. It is declared that the sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the Scheme.

15. The petitioner companies have placed on record a copy of the Valuation Report dated 18.01.2021 recommending Equity Shares & Exchange Ratio issued by Akash Premchand Agrawal, Registered Valuer. The copies of Valuation Reports dated 10.01.2021 of immovable properties issued by Mr. Parikshit M Talati, Architect are also on record.

16. The Petitioner Companies have stated in the Petition that no inspection or investigation has been instituted or is pending against any of the petitioner companies under the provisions of the Companies Act, 2013. No winding up petition is pending against the Petitioner Companies.

17. In compliance with the Proviso to the Clause (e) of Sub Section (7) of Section 230 of the Companies Act, 2013. Certificate from the Statutory Auditor of the Applicant Companies dated 18.01.2021 confirms that the Accounting Treatment as proposed under the Scheme are in conformity with the Accounting Standards prescribed under section 133 the Companies Act, 2013.

18. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

19. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

20. This Tribunal orders as under:-

(a) The Scheme of Amalgamation as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

(b) It is declared that the Transferor Companies shall be dissolved without winding up.

(c) All the property annexed herewith as **"Annexure B",** right and powers of the Transferor Companies specified in the schedule hereto and all the other property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the

same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies therein but subject nevertheless to all charges now affecting the same, if any.

(d) The Transferee Company shall, without any further application, act, instrument or deed, issue and allot to the equity shareholders of the Transferor Company 3, whose names are registered in their Register of Members on the Record Date (to be fixed by the Board of Directors of the Transferee Company 3) or his heirs, executors, successors, as the case may be, in the following manner:

1(One) Equity Share of Rs. 10/- each credited as fully paid up of Shanu Tex And Developers Private Limited shall be allotted to Shareholders of Glorious Yarns Private Limited for every 8.46 Equity Shares held in Glorious Yarns Private Limited.

1(One) Equity Share of Rs. 10/- each credited as fully paid up of Shanu Tex And Developers Private Limited shall be allotted to Shareholders of Harmony Prints Private Limited for 3.37 Equity Shares held in Harmony Prints Private Limited.

The shares will be allotted as follows:-

As on 18/01/ Name of the Shareholders 2021	**Equity shares held in T1 Company**	**Equity shares of T3 Co. to be allotted to share holders**	**Equity shares held in T2 Company**	**Equity shares of T3 Co. to be allotted to share holders of**

		of T-1 Co.		**T-2 Co.**
Shri Ashok Kumar Kejriwal	299290	35377	109700	32552
Shri Sanjay Agarwal	10	1	5000	1483
Shri Ahishek Kejriwal	175000	20686	15000	4451
Shri Binod Kumar Kejriwal (HUF)	18500	2187	0	0
Smt. Sangeeta Kejriwal	87200	10307	5000	1484
Shri Pawan Kumar Kejriwal	10000	1182	5000	1484
M/s. Mangal Trading Co.	40473	4784	0	0
M/s. Rama Synsilk Mills Pvt. Ltd.	90000	10638	0	0
Rajesh Kumar Agrawal	0	0	10000	2967

(e) All proceedings, if any, now pending or against the Transferor Companies be continued by or against the Transferee Company.

(f) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said all companies shall be consolidated accordingly.

(g) Upon Scheme being effective, the Authorised Capital of the Transferor Company shall be consolidated with the Authorised Capital of the Transferee Company as envisaged under Clause 19 of the Scheme.

(h) All concerned Authorities to act on the copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

(i) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the Transferor Companies attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(j) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the

concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(k) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/- in respect of the petitioner companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(l) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.20,000/- in respect of the petitioner Transferor Companies. The said fees to the Official Liquidator shall be paid by the Transferee Company.

(m) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

21. The Company Petition C.P. (CAA) 40 (AHM)/2021 in CA(CAA) No. 29 of 2021 is disposed of. No order as to costs.

-SD-	**-SD-**
KAUSHALENDRA KUMAR SINGH	**Dr. MADAN B GOSAVI**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**

Sapna

Annexure "A"

Annexure- E

201

NOTARY ASHOK C. PANCHAL ADVOCATE SURAT CITY REG.NO.4530 EXPIRY DATE 19-06-2022 GOVT. OF INDIA

Sr.No. 7245 of 2021
Date: 19 JUN 2021

SCHEME OF MERGER

OF

GLORIOUS YARNS PRIVATE LIMITED

(Transferor Company No. 1)

AND

HARMONY PRINTS PRIVATE LIMITED

(Transferor Company No. 2)

WITH

SHANU TEX AND DEVELOPERS PRIVATE LIMITED

(Transferee Company)

(Pursuant to Sections 230 and 232 of the Companies Act 2013)

PREAMBLE & RATIONALE

Whereas

1 This scheme of Merger (herein after referred to as scheme) provides for merger of Glorious Yarns Private Limited, Transferor Company Number 1, Harmony Prints Private Limited, Transferor Company Number 2 with Shanu Tex And Developers Private Limited, Transferee Company pursuant to section 230 and 230(2) of The Companies Act 2013 and other relevant provisions of The Companies Act 2013 and Rules made there under.

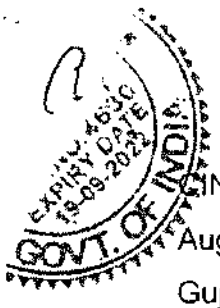
2. That the Transferor Number 1, Glorious Yarns Private Limited having Company Identification Number (CIN) U17199GJ1997PTC033282 was incorporated on the 10th day of November, 1997 under the Companies Act, 1956 in the State of

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

Gujarat. The Registered Office of Transferor No. 1 Company is presently situated at Plot-65, 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chowk, Surat 395001. The Permanent Account Number (PAN) of Transferor Number 1 Company under Income tax Act is AAACG8687J. The main objects of Transferor Number 1 Company have been set out in the Memorandum of Association of the said Company.

3. That the Transferor Company Number 2, Harmony Prints Private Limited having Company Identification Number (CIN) U17119GJ2002PTC041374 was incorporated on the 04th day of October, 2002 under the Companies Act, 1956 in name of Harmony Prints Limited. The name of Transferor No. 2 Company was changed to Harmony Prints Private Limited due to conversion of Public Company into Private Company vide Fresh Certificate of Incorporation issued by Registrar of Companies, Gujarat Dadra & Nagar Haveli on 23/08/2010. The Registered Office of Transferor No. 2 Company is presently situated at Plot-65, 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chowk, Surat 395001. Permanent Account Number (PAN) of Transferor Number 2 company under Income Tax Act is AABCH2103D The main objects of Transferor Number 2 company have been set out in the Memorandum of Association of the said company

4. That the Transferee Company Shanu Tex And Developers Private Limited having Company Identification Number (CIN)



CIN: U17119GJ1999PTC036490 was incorporated on 27th August, 1999 under the Companies Act, 1956, in the State of Gujarat. The Registered Office of Transferee Company is presently situated at Plot-65; 1st Floor, Subhash Nagar Society Ghod Dod Road, Nr. Ram Chawk, Surat 395001. The Permanent Account Number (PAN) or Transferee Company under Income Tax Act is AAGCS8000F The main objects of Transferee Company have been set out in the memorandum of Association of the said company

5. RATIONALE FOR PROPOSED MERGER:

The Scheme of Amalgamation is expected to yield the following benefits

(i) Enable consolidation of the business of the applicant companies into one entity which will facilitate in focused growth, operational efficiencies, business synergies and better supervision of the business of the group.

(ii) Pooling of resources (including manpower, management and administration and marketing resources) of the aforesaid companies resulting in, synergies of operations and optimization of logistics, resulting in more productive utilization of said resources, savings in cost and operational efficiencies.

(iii) Strengthening financial position and increased leverage capacity of the merged entity

(iv) Concentrated management focus, improved organizational capacity, integration rationalization and streamlining of the





management structure of the merged entity, seamless implementation of policy changes at a higher level from a management perspective and shall also help enhance the efficiency and control of the entities.

(v) Facilitating internal transfer of resources and optimum utilization of assets

(vi) Avoiding duplication of administrative functions, reduction in multiplicity of legal and regulatory compliances

(vii) Enable the creation of a platform for a new business segment and to act as a gateway for growth and expansion of business operations.

PART I - GENERAL

7. DEFINITIONS:

In this scheme, unless inconsistent with or repugnant to the subject of context the following expressions shall have the meaning given to them below :-

a. **"Act" or 'The said Act'** means the Companies Act, 2013 as in force from time to time

b. **"Appointed Date"** means 18th Day of January 2021 being the date from which this Scheme shall become applicable i.e. date with effect from which the transferor companies shall merge with transferee company or any other date which Honorable Company Law Tribunal directs or deems fit in the circumstances of case and time taken in the completion of formalities.



"**Board**" or "**Board of Directors**" means the board of directors of the Transferor Company or the Transferee Company, as the case may be, and shall, unless it is repugnant to the context or otherwise, include a committee of directors or any person authorized by the board of directors or such committee of directors:

d. "**Effective Date**" means the date or last of the dates on which the certified copies of the orders of the Honourable Company Law Tribunal sanctioning this Scheme is filed with the concerned Registrar of Companies by the Transferor Companies and the Transferee Company.

e. '**Scheme of Merger**" or '**Scheme of Amalgamation**' or "**Scheme**" or "**The Scheme**" or "**This Scheme**" means this Scheme of merger in its present form with any modification(s) approved, imposed, or directed by the Tribunal.

f. '**Transferee Company**' means '**SHANU TEX AND DEVELOPERS PRIVATE LIMITED**', a Private limited company incorporated under the Companies Act,1956 on 27th August, 1999 and having CIN U17119GJ1999PTC036490.

g. '**Transferor Company** Number **1**" means '**GLORIOUS YARNS PRIVATE LIMITED**', a company incorporated under the Companies Act, 1956 on 10th day of November, 1997 and having CIN : U17199GJ1997PTC033282.

h. '**Transferor Company Number 2**" means '**HARMONY PRINTS PRIVATE LIMITED**', a company incorporated under

the Companies Act,1956 on 04th day of October, 2002 and having CIN U17119GJ2002PTC041374.

i. **'Transferor Companies'** means Transferor Company Number 1, and Transferor Company number 2 .

j. **"Tribunal"** means the National Company Law Tribunal **("NCLT")** & the National Company Law Appellate Tribunal **("NCLAT")** as constituted and authorized as per the provisions of the Companies Act, 2013 for approving any scheme of arrangement, compromise or reconstruction of companies under section 230 to 240 of the Companies Act, 2013.

k. **'Undertakings'** shall mean and include

i. All the assets and properties (weather movable or immovable, tangible or intangible) of the Transferor companies as on appointed date (herein after referred to as Assets).

ii. All the debts, liabilities, duties and obligations of the transferor companies as on Appointed date (herein referred to as Liabilities)

iii. Without prejudice to the generality of sub clauses above, the under taking of the transferor companies shall include all the transferor companies reserves, movable and immovable properties , assets including lease hold rights, tenancy rights, industrial and other licenses, permits, authorisations, quota, rights, trademarks, patents and other industrial and intellectual properties, investments in shares

debentures and other securities, sundry debtors, cash and Bank, loans and Advances, telephones, emails and other communication facilities and equipments, rights and benefits of all agreements and all other interest, rights and powers of every kind, nature and description whatsoever , privileges, liberties, easements, advantages, benefits, approvals.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as ascribed to them under the Act and other applicable laws, rules, regulations and byelaws as the case may be, including any statutory modification or re-enactment thereof from time to time

8. **SHARE CAPITAL:**

The Authorised, Issued, Subscribed and paid Up Share Capital of Transferor Number 1 Company (Glorious Yarns Private Limited) as per Audited financial Statements as on 31st March 2020 is as under :

Particulars	**Amount Rs.**
Authorised Share Capital	
750000 Equity Shares of Rs.10/- each	75,00,000/-
Issued, Subscribed & Paid-up Share Capital	
720473 Equity Shares of RS.10/- each	72,04,730/-

There is no change in above share capital till date of presentation of scheme.

No Shares of Transferor No. 1 company are held by Transferor Company No. 2 or Transferee Company.

10. The Authorised, Issued, Subscribed and paid Up Share Capital of Transferor Number 2 Company (Harmony Prints Private Limited) as per Audited financial Statements as on 31st March 2020 is as under :

Particulars	Amount Rs.
Authorised Share Capital	
1000000 Equity Shares of Rs.10/- each	1,00,00,000/-
Issued, Subscribed & Paid-up Share Capital	
149700 Equity Shares of RS.10/- each	14,97,000/-

There is no change in above share capital till date of presentation of scheme. No Shares of Transferor No. 2 company are held by Transferor Company No. 1 or Transferee Company.

11. The Authorised, Issued, Subscribed and paid Up Share Capital of Transferee Company (Shanu Tex And Developers Private Limited) as per Audited financial Statements as on 31st March 2020 is as under

Particulars	Amount Rs.
Authorised Share Capital	
750000 Equity Shares of Rs.10/- each	75,00,000/-
Issued, Subscribed & Paid-up Share Capital	
590000 Equity Shares of RS.10/- each	59,00,000/-

There is no change in above share capital till date of presentation of scheme.

No Shares of Transferee company are held by other Transferor Companies.

PART II

12. TRANSFER OF UNDERTAKING

Upon coming into effect this scheme for Appointed Date and pursuant to provisions of the Act and subject to provisions of this scheme :-

a. All the 'Undertakings' of The transferor Companies shall without and further act, instrument or deed stand transferred to and vested in and/or deemed to have been transferred and vested in the transferee company as going concern so as to become the estate, right, title and interest and authorities of the transferee company provided always that the scheme shall not operate to enlarge the security for any loan, deposit or facility created by or available to the transferor companies which shall vest with the transferee company by virtue of the merger and the transferee company shall not be obliged to create any further or additional security and shall after merger has become effective or otherwise.

b. All the liabilities shall without any further act or instrument or deed be and stand transferred to the transferee company so as to become as form date of appointed date the debts, liabilities, duties and obligations of the transferee company.

c. Subject to such other clauses of the scheme, all loans raised and utilised and all debts, duties, undertakings, liabilities and obligations incurred or undertaken by the transferor companies in relation to or in connection with the undertaking after the appointed date and prior to effective date shall be deemed to have been raised, used, incurred or undertaken for and on behalf of the transferee company and to the extent they are outstanding on the effective date shall upon the coming into effect this scheme, pursuant to the provisions of the Act without any further act, instrument or deed be and stand transferred to or vested in or deemed to have been transferred or vested in the transferee company and shall become debt, duties, undertaking, liabilities and obligations of the transferee company with shall meet, discharge and satisfy the same.

d. Subject to such other clauses of the scheme, all estate, assets, rights, title, interest, authorisation accrued to and/or acquired by the transferor companies in relation to or in connection with the undertaking after the Appointed date and prior to the Effective date shall have been deemed to have been accrued to and/or acquired for and on behalf of the transferee company and shall upon coming into effect this scheme pursuant to the provisions of The Act without any further act, instrument of deed be and stand transferred or vested in or be deemed to have been transferred or vested in the transferee company to that extent and shall become the

estate, asset, right, title, interest and authorization of the transferee company.

e. With affect form the appointed date and subject to any corrections and adjustments as my in the opinion of the Board of Directors of the transferee company be required, the reserves of the transferor companies will be amalgamated with those of transferee company in same forms as they appeared in the financial statements of the transferor company.

f. The transferee company shall adjust the balance of profit and loss account of the transferor companies against its profit and loss account. The unabsorbed depreciation and business losses of the transferor companies would be deemed to be the unabsorbed depreciation and business losses of the transferee company.

g. In case of any difference in accounting policy between the transferor companies and the transferee company, the impact of the same till the amalgamation will be quantified and adjusted in the general reserve to ensure that the financial statement of the transferee company reflects the position on the basis of consistent accounting policy.

h. All assets and liabilities including reserves of the transferor companies transferred to transferee company under the scheme shall be recorded in the books of the transferee company at the book value recorded in the transferor

company's books of accounts.

The transfer and vesting of the undertakings of the transferor companies under the above mentioned clauses and the continuance of the proceedings by the transferee company under this scheme hereof shall not affect any transaction or proceeding already concluded by the transferor companies in ordinary course of business on and after appointed date to the end and intent that the Transferee Company accepts on behalf of itself as acts, deeds, and things done and executed and all transactions or proceedings already concluded by the Transferor Companies.

j. The transferee company shall make suitable alterations to its Memorandum of Association and Articles of Association if necessary for proper implementation of the scheme.

k The reserves created as a result of scheme of amalgamation being approved shall be transferred to "Capital Reserves" to be utilised as per accounting standards issued by the Institute of Chartered Accountants of India for 'Capital Reserves'. The accounting treatment shall be in compliance with Applicable Accounting Standards specified under Section 133 of The Companies Act 2013 read with Company Accounts (Rules) 2014.

l. On scheme becoming effective, the transferee company shall be entitled to revise its income tax returns and also income tax returns filed by Transferor Companies in so far it is

necessitated on account of scheme becoming effective with effect from 18th day of January 2021, being the Appointed date under the scheme.

13. CONTRACTS, DEEDS, BONDS,OTHER INSTRUMETS AND BENEFITS OR PREVILIDGES

a. Upon coming into effect of this scheme all contracts, deeds, bonds, agreements, arrangements and other instruments (including all tenancies, leases, licences and other assurances or powers or authorities granted in favour of transferor companies) to which transferor companies are parties or to the benefit of which the transferor companies may be eligible and instrument or deed, shall be in full force and the effect against or in favour of the Transferee company, as the case may be and may be enforced as fully and effectively as if, instead of transferor companies, the transferee company had been a party or beneficiary or oblige thereto. The transferee company shall at any time prior to the effective date wherever necessary enter into and/or issue and/or execute deeds, writings, confirmations any triparty agreements or notations to which the transferor companies will if necessary also be a party in order to give formal effect to the provisions of this clause. All the leases and tenancies made by the transferor companies with respect to its lands, plant and machinery etc. to the third parties shall not determine or terminated by the fact that after amalgamation between the transferor and transferee companies, the

transferee company has stepped into the shoes of the transferor companies and no third party interest in such leases and tenancies shall be extinguished.

b. Any inter se contract between the transferor companies and the transferee company shall stand adjusted and vest in the transferee company upon the sanction of the scheme and upon the scheme becoming effective. The share capital in the transferor companies held by the transferee company and vice –versa if any shall accordingly stand cancelled.

c. The transferee company may, at any time after the coming into effect of this scheme in accordance with the provisions hereof, if so required, under any law or otherwise, enter into, or issue or execute deeds, writings, confirmations, notations, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the transferor companies where a party or any writing as may be necessary to be executed in order to give formal effect to the contract or arrangement.

d. All the licenses, permits, quotas, approvals, permissions, incentives, sales tax deferrals, loans, subsidies, concessions, grants, rights, claims, leases, tenancy right, liberties, special status and other benefits or privileges enjoyed or conferred upon or held or availed of by and all rights and benefits that have accrued or which may accrue to the transferor companies, shall, pursuant to the provisions of the act, without any further act or deeds, be transferred to and vested

and/or be deemed to have been transferred to and vested in and be available to the transferee company so as to become as and from the appointed date, the licenses, permits, quotas, approval, permission, incentive, sales tax deferrals, loans, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges of the transferee company and shall remain valid, effective and enforceable as on the same terms and conditions to the extent permissible under law.

e. All benefits / refunds / credits under income tax act, excise (including Modvat / Cenvat), Sales tax (including deferment of sales tax), Value added tax and Service Tax, Goods and Service Tax etc. to which transferor companies is/ are entitled to in terms of the various statutes and /or schemes of Union and state Governments, shall be available to and vest in the transferee company, without any further act or deed. Further the transferee company is also permitted to revise income tax returns and related TDS Certificates.

f. As a consequence of the amalgamation of the Transferor Companies with the Transferee Company in accordance with this Scheme, the recording of change in name from the Transferor Companies to the Transferee Company, whether for the purposes of any licence, permit, approval or any other reason, or whether for the purposes of any transfer, registration, mutation or any other reason, shall be carried out by the concerned statutory or regulatory or any other

authority without the requirement of payment of any transfer or registration fee or any other charge or imposition whatsoever.

14 TRANSFEROR COMPANY'S STAFF, WORKMEN AND EMPLOYEES:

All the staff, workmen and other employees in the service of the transferor companies as on the effective date, shall on and from the effective date become the staff, workmen and employees of the transferee company on the basis that:-

a. Their services shall have been continuous and shall not have been interrupted by reason of the transfer of undertakings and that the terms and conditions of service applicable to the said staff, workmen or employees on the effective date as aforesaid shall not in any way be less favourable to them than those applicable to those applicable to them immediately before the effective date; and

b. It is expressly provided that as far as Provident fund, Gratuity fund, Superannuation fund, or any other special fund/trust, if any, created or existing for the benefit to the staff, workmen and other employees of the Transferor Companies for all purposes whatsoever related to the administration or operation of such Funds or in relation to the obligation to make contributions to the said Funds in accordance with provisions of such Funds as per the terms provided in the respective Trust Deeds. It is the aim and

intent that all the rights, duties, powers and obligations of the Transferor Companies in relation to such funds/Trusts shall become those of the Transferee Company and all the rights, duties and benefits of the employees employed in Transferor Companies under such Funds and Trusts shall be protected. It is further clarified that the services of the employees of the Transferor Companies will also be treated as having been continuous for the purpose of the aforesaid Funds/Trusts.

15 LEGAL PROCEEDINGS:

If any suit, writ petition, appeal, revision or other proceedings of whatever nature (hereinafter called "the proceedings") by or against the Transferor Companies be pending, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the Transfer of the undertakings of the Transferor Companies or of anything contained in the scheme, but the proceedings may be continued, prosecuted and enforced by or against the Transferor Companies as if the scheme had not been made. On and from the Effective Date, the Transferee Company shall and may, if required, initiate any legal proceedings for and on behalf of the Transferor Companies.

16 OPERATIVE DATE OF THE SCHEME:

The scheme, although operative from the Appointed date, shall become effective from the effective date.

17 DISSOLUTION OF TRANSFEROR COMPANIES

The Transferor Companies no. 1 and 2 shall stand dissolved w.e.f. Effective Date without the process of winding up.

18 **CONDUCT OF BUSINESS BY TRANSFEROR COMPANIES TILL EFFECTIVE DATE:**

With effect from the Appointed Date and up to and including the Effective Date, the Transferor Companies:

a Shall carry on and be deemed to carry on all its business and activities and stand possessed of its properties and assets for and on account of and in trust for the Transferee Company and all the Profits or incomes accruing or arising to the Transferor Companies, or expenditure or losses arising or incurred (including the effect of taxes, if any, thereon)by the Transferor Companies shall, for all purposes, be treated and be deemed to be and accrue as the profits or income or expenditure or losses or taxes of the Transferee Company, as the case may be (it is clarified that nay advance Tax paid/ TDS Certificates received by the Transferor Companies be treated and be deemed to be and accrue as taxes paid by the transferee Company)

b. Hereby undertakes to carry on its businesses with reasonable diligence and shall not, without the written consent of the Transferee Company, alienate charge or otherwise deal with the undertakings or any part thereof except in the ordinary course of their business.

c Shall discharge all their liabilities and obligations for and on

account of the Transferee Company.

d. shall not vary the terms and conditions of the employment of its employees except in the ordinary course of business.

19 AUTHORISED SHARE CAPITAL

a Upon the Scheme becoming fully effective, the authorised share capital of the Transferor Companies shall stand combined with the authorised share capital of the Transferee Company. Filing fees and stamp duty, if any, paid by the Transferor Companies on their respective authorised share capital, shall be deemed to have been so paid by the Transferee Company on the combined authorised share capital and accordingly, the Transferee Company shall not be required to pay any feel stamp duty for its increased authorised share capital. The Applicant Companies however undertakes to pay differential registration fee payable pursuant to provisions of Section 232 (3) (i) of the Companies Act, 2013. The differential fees payable on the increased authorised capital of the transferee company consequent on sanctioning of the scheme after setting of fees paid by the transferor companies shall be paid by the transferee company.

b Clause V of the Memorandum of Association of the Transferee Company shall, without any further act, instrument or deed, be and stand altered, modified and amended under applicable provisions of the Act by deleting



he existing Clause and replacing it by the following:

V. The Authorised Share Capital of the Company is Rs. 2,50,00,000/- (Rupees Two Crore Fifty Lacs) divided into 2500000 (Twenty Five Lacs) equity shares of Rs.10/- (Rupee Ten) each with power to increase or reduce the capital and with liberty to divide the capital into several classes and to attach thereto respectively such preferential rights, privileges, or conditions in such manner as may be permitted by the Companies Act and as the company deems fit and necessary."

c The approval of this Scheme under Sections 231 and 232 of the Companies Act, 2013 shall be deemed to have the approval under Section 13, 14, 61 & 62 and other applicable provisions of the Companies Act 2013 and any other consents and approvals required in this regard.

20 ISSUE OF SHARES AND TREATMENT OF INTER COMPANY SHAREHOLDING.

Upon scheme becoming effective and vesting of assets and liabilities of Transferor Companies in the Transferee Company the shareholders of Transferor Companies shall be without any further application be issued and allotted Equity Shares of Transferee Company credited as fully paid up to the extent indicated below.

1(One) Equity Share of Rs. 10/- each credited as fully paid up of



Shanu Tex And Developers Private Limited shall be allotted to Shareholders of Glorious Yarns Private Limited for every 8.46 Equity Shares held in Glorious Yarns Private Limited.

1(One) Equity Share of Rs. 10/- each credited as fully paid up of Shanu Tex And Developers Private Limited shall be allotted to Shareholders of Harmony Prints Private Limited for 3.37 Equity Shares held in Harmony Prints Private Limited.

The Board of directors of Transferee Company shall be authorized to determine the matters relating to disposal of fractional entitlement in best interest of Shareholders of respective Transferor Companies.

No shares shall be issued to in respect of shares of Transferor Companies held by other Transferor Companies or Transferee Company on effective date.

21 **ACCOUNTING TREATMENT :**

Upon the Scheme becoming effective, the amalgamation of the Transferor Companies with the Transferee Company would follow **'pooling of interest/amalgamation in the nature of merger'** method as prescribed in the Accounting Standard 14: 'Accounting for Amalgamations' as per provisions of Section 133 of the Companies Act, 2013, such that:-

a The Transferee Company shall, upon the Scheme coming into effect, record the assets and liabilities of the Transferor Companies vested in it pursuant to this Scheme at the respective book values thereof and in the same form as

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appearing in the books of the Transferor Companies at the close of business of the day immediately preceding the Appointed Date.

b The Transferee Company shall record the security premium, general reserves and the capital reserves, if any, of the Transferor Companies in the same form and at the same values as they appear in the financial statements of the Transferor Companies at the close of business of the day immediately preceding the Appointed Date. The surplus balance in the Statement of Profit and Loss of the Transferor Companies shall be similarly aggregated with the surplus balances in statement of Profit and Loss of the Transferee Company.

c The accumulated losses/ deficit in the Statement of Profit and Loss of the Transferor Companies shall be shown as goodwill in the books of the Transferee Company

d The difference, if any, between the investment of the Transferee Company and the amount of share capital of the Transferor Companies shall be adjusted in the Reserves of the Transferee Company

e To the extent there are inter-corporate loans or balances between the transferor Companies and the Transferee Company, the obligations in respect thereof shall come to an end and corresponding effect shall be given in the books of accounts and records of the Transferee Company for the

reduction of any assets or liabilities, as the case may be.

This scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under section 2(1B) of the Income Tax Act, 1961 and other applicable provisions , if any, terms or provisions of the scheme is/are inconsistent with the provisions of the Income Tax Act, 1961, the Provisions of the Income Tax Act, 1961 shall prevail and the scheme shall stand modified to the extent necessary to comply with section 2(1B) of the Income Tax Act, 1961 and other applicable provisions , if any.

22 DIVIDENDS , PROFITS, BONUS/RIGHT SHARES:

a Subject to the provisions of this scheme, the profits or losses of the Transferor Companies for the period beginning from Appointed dated shall be deemed to belong to and be the profits or losses of the Transferee Company and will be available to the Transferee Company for being dealt with/ disposed of in any manner as it thinks fit including declaration of dividend, issue of Bonus Shares, or for the purpose of issue of right shares by the Transferee Company.

b It is further provided that scheme upon coming into effect, the amount of balance lying to the debit of the Profit and Loss Account as represented/shown in the Balance Sheet of the Transferor Companies shall be aggregated by the Transferee Company with similar amounts lying in its own Profit and Loss account as if the same as created by the Transferee

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Company out of its own funds.

c The opening Balance Sheet shall constitute the restructured Balance Sheet of the Transferee Company as on the appointed date.

PART IV — GENERAL TERMS AND CONDITIONS

23 APPLICATION TO TRIBUNAL

The Transferor Companies and The Transferee Company shall, with reasonable efforts make necessary application(s) jointly or separately to National Company Law Tribunal for sanctioning and carrying out of the Scheme and for dissolution of The Transferor Companies without winding up under the Provisions of the Law and to obtain all approvals as may be required.

24 MODIFICATIONS / AMENDMENTS TO THE SCHEME

a The Transferor Companies and the Transferee Company through their respective Boards of Directors including Committees of Directors or other persons, duly authorised by the respective Boards in this regard, may make, or assent to, any alteration or modification to this Scheme or to any conditions or limitations, which the Court or any other Competent Authority may deem fit to direct, approve or impose and may give such directions including an order of dissolution of the Transferor Companies without process of winding up as they may consider necessary, to settle any

doubt, question or difficulty, arising under the scheme or in regard to its implementation or in any manner connected therewith and to do and to execute all such acts, deeds, matters and things necessary for putting this Scheme into effect, or to review the portion relating to the satisfaction of the conditions to this scheme and if necessary, to waive any of those (to the extent permitted under law) for bringing this scheme into effect.

b If any part or provision of this Scheme if found to be unworkable for any reason whatsoever, the same shall not, subject to the decision of the Transferor Companies and the Transferee Company, affect the validity of implementation of the other parts and/or provisions of the Scheme. If any Part or provision of this Scheme hereof is invalid, ruled illegal by any Court of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Transferor Companies and the Transferee Company that such Part or provision, as the case may be, shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such Part or provision, as the case may be, shall cause this Scheme to become materially adverse to the Transferor Companies and the Transferee Company, in which case the Transferor Companies and the Transferee Company shall attempt to bring about a modification in the Scheme, as will best preserve for the Transferor Companies and the

Transferee Company the benefits and obligations of the Scheme, including but not limited to such Part or provision.

25 SCHEME CONDITIONAL ON APPROVALS/ SANCTIONS

This Scheme is conditional upon the following approvals/events and the Scheme shall be deemed to be effective on obtaining last of the following approvals and the occurrence of the last of the following events:

a The approval of the scheme by the requisite majority of the members and creditors of the Transferor Companies and the Transferee Company, as the case may be as required under section 230 of the said Act.

b The sanction of the scheme by the National Company Law Tribunal, Ahmedabad Bench under section 230 read with section 232 of the said Act and other applicable provisions of the said Act, rules and regulations, as the case may be.

c Certified copies of the National Company Law Tribunal orders being filed with the Registrar of Companies, NCLT Ahmedabad.

d Such other sanctions and approvals including sanctions of any Governmental or Regulatory Authority, as may be required by law in respect of the scheme.

26 EXPENSES CONNECTED WITH THE SCHEME:

All costs, charges and expenses of the Transferor Companies and the Transferee Company respectively in relation to or in connection with the Scheme and of carrying out and

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Date: 19 JUN 2021

implementing/completing the terms and provisions of the Scheme and/or incidental to the completion of amalgamation of the said undertaking of the Transferor Companies in pursuance of the Scheme shall be borne and paid solely by the Transferee Company.

27 **EFFECT OF NON-RECEIPT OF APPROVALS:**

In case the scheme is not sanctioned by the National Company Law Tribunal or in case any of the consents, approvals, permissions, resolutions, agreements, sanctions or conditions enumerated in the Scheme not being obtained or complied or for any other reason the scheme cannot be implemented by such date as may be agreed by the Board of Directors of Transferor Companies and Transferee Company, the Scheme shall become null and void, and in that event no rights and liabilities whatsoever shall accrue to, or be incurred to or be incurred inter-se by the parties or their shareholders or creditors or employees or any other person. In such a case each Company shall bear its own cost, charges and expenses in connection with the scheme unless otherwise mutually agreed.

ATTESTED

A. C. PANCHAL
NOTARY

19 JUN 2021

IDENTIFIED BY ME

ASHOK C. PANCHAL
ADVOCATE & NOTARY
30, Vihar Society,
Ved Road, SURAT-395004.

Annexure 'B'

Annexure B Annexure to national Company Law tribunal Order dated....		
List of properties to be transferred		
Description of property	**Value of Property of Transferor no.1 Company Glorious Yarns Private Limited as on 21/12/2022**	**Value of Property of Transferor no.2 Company Harmony Prints Private Limited as on 21/12/2022**
Bank Account	19180.09	10201.75
Cash In hand	66064.00	36128.00
Property Purchase (Plotl /land)	1969638.00	0.00
Share Purchase -Investment	2500000.00	34700.00
Loans and Advances	11102709.00	0.00
TDS receivable	22822.00	0.00
Advance for land	2013526.00	13658098.00
TOTAL	**17693939.09**	**13739127.75**
Note : The actual value of property transferred shall be as on effective date		

FOR HARMONY PRINTS PVT. LTD

DIRECTOR/AUTH. SIGNATURE

FOR GLOURIOUS YARNS PVT. LTD

DIRECTOR/AUTH. SIGNATURE

FOR SHANU TEX & DEVELOPERS PVT. LTD

DIRECTOR/AUTH. SIGNATURE

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